

Types of Deeds in Michigan

Full Covenant and Warranty Deed

The **general warranty deed** contains the strongest and broadest form of guarantee of title of all deed types, and the greatest protection to the ownership interest of the grantee. The "full covenant" typically means six covenants are included. A covenant, as you may remember, is an agreement, contract, or written promise. The six covenants included in the warranty deed are:

- **Covenant of seisin** . Seisin means the estate is possessed by freehold-the grantor holds the title specified in the deed.
- **Covenant of right to convey** . This covenant means exactly what it says: The grantor has the legal capacity to convey title, and has the title to convey.
- **Covenant against encumbrances** . With this covenant, the grantor is assuring the grantee that there are no encumbrances against the title other than those set forth in public record or the deed itself. This is a covenant that may be used, for instance, by an executor of an estate. That's the only covenant the executor can offer, as the executor has no knowledge of the property otherwise. The executor can assure the buyer that there have been no new encumbrances allowed on the property since the owner died.
- **Covenant of quiet enjoyment** . This doesn't mean the neighbors aren't noisy-it is an assurance by the grantor that the grantee will not be disturbed in the use and enjoyment of the property because of a title defect passed on by the grantor.
- **Covenant for further assurances** . This is a promise to that the grantor will provide any additional assurances that the grantee reasonably requires, and will perform any acts necessary to correct any defects in the title being conveyed.
- **Covenant of warranty** . This covenant states that the grantor will warrant and defend the title to the grantee against the lawful claims of others. It is the best form of warranty for protecting the grantee, as it contains no limits as to the possible claimants protected against. As such, it is the most important of all the covenants.

Bargain and Sale Deed

A **bargain and sale deed** is a deed may be conveyed with or without covenants. In most states, Michigan included, a bargain and sale deed with a covenant is called a **special warranty deed** . A bargain and sale deed with covenants ensures that the grantor has not encumbered the property in any way except as stated in the deed. Without that warranty, a grantor could have sold easements in a checkerboard across the property, making the property virtually worthless to a future owner.

Bargain and sale deeds do not contain assurances about with the history of the property before the current owner came into its possession. No such warranties are made; therefore no such protection is in place for the grantee. In addition, the grantor does not warrant the deed for the future.

Lenders will lend on bargain and sale deeds provided appropriate covenants are in place. A deed without such covenants offers very little protection for the grantee, and so would not be acceptable to lenders for mortgage purposes. Bargain and sale deeds without covenants are similar to quitclaim deeds.

With either type of bargain and sale deed, the grantor is implying good title and possession of the property. If you are representing a buyer who is acquiring a property under a bargain and sale deed, determine whether the deed contains specific warranties.

Quitclaim Deed

The **quitclaim deed** does not offer any warranties to the grantee. All it does is release any the grantor's rights to the property to the grantee. In fact, the grantor may have no rights to begin with! The deed doesn't state that the grantor has any title or interest, and makes no warranties as to the quality of the title. All that is accomplished when the grantor signs the quitclaim deed is to prevent the grantor from later claiming interest or ownership in the property.

A common use for the quitclaim deed is when there is a possible heir or other person who may have an interest in the property (such as a former spouse after a divorce), which creates a "cloud" on the title. A cloud is a question that lenders and title companies want to clear up. To remove the cloud and create a good and marketable title, the possible claimant will sign a quitclaim deed. Quitclaim deeds are also used to clear clouds that exist in the form of liens that have been paid but are not yet released, and claims of relatives after estate probation.

Grant Deed

Some western states use a **grant deed** in lieu of a warranty deed. A grant deed is a type of statutory deed, which means that the warranties included in the deed are implied by statute rather than being expressly stated in the deed itself. The warranties implied with a grant deed are a warranty against encumbrances, and a warranty that the grantor hasn't conveyed title to another. Because of its lack of written warranties, a grant deed is the simplest deed form.

Sheriff's Deed

A **sheriff's deed** is used in a foreclosure sale, and is issued by the court granting the foreclosure. When the sale is complete, the official overseeing the sale delivers the sheriff's deed to the deed registrar. The deed is signed, but doesn't become effective until

the statutory redemption period, if any, ends. During the statutory redemption period, if the mortgagor is able to redeem the property (by paying off all lienholders and the costs of the sale), the deed is destroyed, and the high bidder at the foreclosure sale no longer has any claim to the property.